

APPENDIX A TO U.S. ARMY REQUEST FOR INFORMATION – INVITING U.S. INDUSTRY AND PRIVATE CAPITAL TO SHAPE THE MODERNIZATION OF THE U.S. ARMY

1. Specific Examples of Opportunities

To maintain its competitive advantage and ensure readiness, the U.S. Army has embarked on a comprehensive, enterprise-wide modernization effort. This requires a holistic approach to upgrading our infrastructure, technology, and business processes. We must operate with the speed, efficiency, and innovation of a modern global enterprise.

A prime example of this strategic imperative is the transformation of our Organic Industrial Base (OIB)—the 23 arsenals, depots, and ammunition plants that form a cornerstone of our nation's defense. The strategy for the OIB, detailed below, illustrates the depth of our analysis and the scale of our ambition. We are applying this same level of strategic focus to all areas of our enterprise and seek partners who can help us achieve similar transformative outcomes across the board.

Case Study: The OIB Transformation Strategy

- **The Challenge:** The OIB faces critical challenges from aging infrastructure, fluctuating demand signals, and workforce gaps that threaten its ability to sustain military readiness.
- **The Vision:** The Army's vision is to transform the OIB into a modernized, synchronized, and resilient enterprise operating as a single, unified entity. It will deliver strengthened Army readiness, credible surge capacity, and adaptive manufacturing capabilities.
- **The End State:** The desired end state is an OIB that is technologically advanced (integrated with AI, robotics, and digital engineering), operationally efficient, strategically aligned with national priorities, and fully integrated with the national industrial ecosystem.

Just as we have a detailed strategy for our industrial base, we are seeking innovative solutions across the full spectrum of Army operations. The following are a few examples of partnership opportunities we are exploring:

Strategic Transformation Pillar	Opportunity Examples	Desired End-State
P.5 - Advanced Manufacturing & Technology Adoption P.2 - Organic Industrial Base	MRO for rotary wing/ tilt rotor aircraft, transmissions, engines, and other aircraft components.	Establish an efficient, domestic depot that reduces repair turnaround times, enhances mission readiness, develops a specialized aerospace workforce, lowers lifecycle sustainment costs, and decreases dependency on foreign repair sources.
P.5 - Advanced Manufacturing & Technology Adoption P.2 - Organic Industrial Base	Restart and modernize tank turret production and establish centers for watercraft and vehicle propulsion systems.	Create a modernized, sovereign manufacturing capability for critical combat vehicle components, ensuring rapid delivery of turrets and propulsion systems, improving fleet availability, and building a specialized workforce while reducing overall production and sustainment expenses
P.4 - Real Assets and Facilities Utilization P.6 - Critical Minerals and Resource Development	Upgrade facilities for storing commercial explosives and partner to explore for lithium on Army property.	Develop a dual-use facility that leverages private investment to modernize infrastructure, while securing a domestic supply of critical minerals like lithium to reduce foreign dependency and generate revenue.

P.2 - Organic Industrial Base P.3 - Logistics and Supply Chain Strengthening	Partner with commercial industries (e.g., mining, aerospace) that can utilize unique explosive-handling capabilities.	Form a public-private partnership that attracts commercial investment by leasing unique explosive-handling capabilities, thereby maintaining a highly skilled workforce, offsetting operational costs, and ensuring the facility remains ready for surge requirements.
P.3 - Logistics and Supply Chain Strengthening P.5 - Advanced Manufacturing & Technology Adoption	Establish U.S.-based production for critical explosives (C4) and test equipment components to secure the supply chain.	Onshore the production of critical munitions and components to eliminate foreign supply chain vulnerabilities. Attract private capital to build and operate these facilities, leading to long-term cost efficiencies for the Army.
P.2 - Organic Industrial Base	Invest in modern, environmentally friendly technologies to safely dispose of old munitions.	Implement advanced demilitarization technologies that accelerate the disposal of legacy munitions, improve safety standards, and reduce the long-term cost of stockpile management.
P.5 - Advanced Manufacturing & Technology Adoption	Create and run a center for developing and testing small drone technologies.	Establish a national hub for sUAS innovation that attracts private investment to accelerate the development-to-fielding timeline, cultivates a specialized tech workforce, and reduces reliance on foreign drone technology.

P.4 - Real Assets and Facilities Utilization P.5 - Advanced Manufacturing & Technology Adoption	Modernize production of mortar/cannon systems and lease time on the large rotary forge machine to commercial companies.	Upgrade cannon and mortar manufacturing lines to increase throughput and precision, while generating revenue by leasing unique forge capabilities to the private sector. This partnership will sustain a critical artisan workforce.
P.1 - Energy Resilience and Dominance	Building independent power grids and energy storage.	Achieve installation energy independence through microgrids and storage, ensuring uninterrupted operations during grid failures, enhancing soldier quality of life, and lowering long-term energy costs through private financing.
P.3 - Logistics and Supply Chain Strengthening P.4 - Real Assets and Facilities Utilization	Third Party Logistics & Warehousing: Leasing space and facilities for kitting, inspection, and shipping.	Generate revenue and offset facility costs by leasing underutilized warehouse space to commercial partners, creating a dual-use logistics ecosystem and providing modern warehousing training opportunities.
P.2 - Organic Industrial Base	Heavy Vehicle MRO & Sustainment for commercial heavy vehicles, transmission, and gearboxes.	Broaden the depots' repair portfolio to include commercial heavy vehicles, which will sustain a highly skilled technical workforce and reduce the overhead cost burden on military-specific work.

P.4 - Real Assets and Facilities Utilization P.1 - Energy Resilience and Dominance	Data Centers: Build and lease new data centers on property utilizing existing utilities.	Attract private capital to rapidly construct modern data centers on Army land, providing a secure, on-installation hosting option for the Army while generating long-term lease revenue.
P.5 - Advanced Manufacturing & Technology Adoption	sUAS Production: Manufacture sUAS or components for dual-use.	Create a sovereign sUAS manufacturing capability by partnering with private industry, accelerating the availability of new drone technologies to soldiers and developing a specialized manufacturing workforce.
P.5 - Advanced Manufacturing & Technology Adoption P.3 - Logistics and Supply Chain Strengthening	Circuit Card Manufacturing and Repair: Contract manufacturing for mature node/legacy chip replacements.	Mitigate supply chain risk for legacy systems by establishing a domestic source for hard-to-find circuit cards, providing a cost-effective alternative to expensive system redesigns.
P.5 - Advanced Manufacturing & Technology Adoption P.2 - Organic Industrial Base	Diversified Contract Manufacturing: Producing parts or assembled products using specialized processes (e.g., CNC Machines)	Increase the utilization of high-tech machinery by taking on private sector manufacturing jobs, which generates revenue to offset operational costs and ensures technicians maintain high-demand skills.

P.2 - Organic Industrial Base P.4 - Real Assets and Facilities Utilization	Fertilizer/Chemical Plant: Leverage existing utilities to build a new fertilizer or other chemical plant.	Repurpose existing infrastructure to support a new commercial enterprise that attracts private investment, creates local jobs, and generates revenue for the Army through land and utility leases.
P.4 - Real Assets and Facilities Utilization	Advanced communications Lease Space: Lease availability on existing advanced communications infrastructure to industry	Maximize the value of existing capital assets by leasing spare capacity on advanced communications infrastructure to commercial partners, creating a recurring revenue stream that reduces the Army's net sustainment cost.
P.6 - Critical Minerals and Resource Development	Rare earth mineral extraction, processing, and refinement:	Secure a domestic source of a critical strategic mineral by partnering with industry to explore and extract lithium deposits, reducing U.S. dependency on foreign supply chains and creating a new revenue stream.